

CHOICE OF BUSINESS MEDIA

INTRODUCTION:

Businesses are set up to make a profit (except for non-profit organisations). A business generates income by **selling products and/or services**.

Business can be incorporated or unincorporated.

Unincorporated businesses:

- **Few formalities** are required. You must still register for VAT if the business reaches the threshold.
- **No need for registering** these businesses.
- **Examples:** sole traders and general partnerships.

Incorporated businesses:

- **You must formally register the business** at Companies House.
- **Examples:** private limited companies and limited liability partnerships.

Companies House:

The Registrar of Companies in the UK. In this module, you will learn what information must be filed at Companies House and how to register a new company.

CHOICE OF BUSINESS MEDIA:

When the client is choosing business media, consider the advantages and disadvantages of each business media.

Depending on the what the business owner is trying to achieve, different business media will prove to be beneficial.

Most common types of business media:

1. Sole traders
2. General partnerships
3. Limited Partnerships
4. Limited liability partnerships
5. Companies limited by shares

Sole trader

A sole trader is a person who **owns all the assets** in the business. The business is not a separate entity from its owner so the sole trader business cannot run if the sole trader dies. The sole trader is liable for all the business losses and will make all the decisions in relation to the business.

Key characteristics:

- **Number of persons needed for set up:** 1 person. Cannot form sole trader business for less/more than 1.
- **Control and management:** Sole traders have complete control over the running of the business. This gives sole traders flexibility but pressure if working without support.
- **Liability: Not limited** – Unlimited personal liability.
- **Expenses when setting up:** No formalities so no setting up costs
- **On-going expenses after the business is set up:** None necessary, although usually accountants will be involved in keeping accounts
- **Methods of financing:** Sole trader can borrow from a bank but cannot create floating charges nor raise finance by share issue.
- **Profits:** All profits go to the owner.
- **Tax:** Owner pays tax as an individual (income tax + capital gains tax)
- **May trade immediately?** Yes.

General partnership

s.1(1) Partnership Act 1890 Partnership = persons carrying on business with a view of profit. It is based on an agreement between the parties. – May form a partnership irrespective of contrary intention.

No separate legal identity. The partnership is unable to own property or enter into contracts. Instead, it is the individual partners who will sue, own property jointly, and enter into contracts jointly. If partnership goes insolvent, creditors can enforce debt against the partners personally.

Key characteristics:

- **Number of persons needed for set up:** Min. 2 persons
- **Expenses when setting up:** None, although it is beneficial to have a Partnership Agreement drawn up by lawyers (this may be expensive).
- **On-going expenses after the business is set up:** None necessary, although must pay for accountants
- **Management structure of the business:** In accordance with the Partnership Agreement, however if no agreement, the default provisions in the **PA 1890** step in.
- **Methods of financing:** Partners can borrow but cannot create floating charges. They also cannot raise finance by issuing shares.
- **Liability:** Each partner has unlimited personal liability.
- **Publicity:** Fewer requirements than for other options, **easier to maintain privacy**. No disclosure required
- **May trade immediately?** Yes.

Limited Partnership

Limited Partnerships Act 1907 The act governing limited partnerships.

Two types of partners in these partnerships: ***You need one of each***

1. **General partners** – manage the business and have unlimited liability. These partners will be the ones entering into contracts on behalf of the partnership.
2. **Limited partners** – invests capital in the business and has limited liability. Their liability is limited to the amount they have spent on the business.

These types of partnerships must be **registered at Companies House**.

Limited Liability Partnership (LLP)

An LLP is a hybrid as it has the flexibility of a partnership with the added advantage of limited liability for its members. – **Common for Law firms**.

Limited Liability Partnerships Act 2000 The act governing limited liability partnerships.

An LLP is a **separate legal entity** from its members. But for tax purposes, it is treated as a partnership and the members will be taxed as partners, each being liable to pay tax on his share of the income of the LLP.

The members of the LLP are not personally liable and **their liability will be limited to their investment** similarly to companies.

These types of partnerships must be **registered at Companies House**.

Key characteristics:

- **Number of persons needed for set up:** 2 persons min.
- **Expenses when setting up:** Low costs but must pay legal fees for Partnership Agreement.
- **On-going expenses after the business is set up:** Accounts must be prepared by accountants annually. File a Confirmation Statement minimum once a year. Higher costs due to regulation and disclosure rules.
- **Management structure of the business:** Apart from a few default provisions, the LLP and regulations leave matters of governance to a partnership agreement – if one exists. Pros of an LLP is the few formalities for management procedures.
- **Methods of financing:** LLP can borrow and create floating charges. If any financing is underwritten by a member's personal guarantee, limited liability is removed. Cannot raise finance by issuing shares.
- **Publicity:** No privacy. Similar disclosure rules as for companies.
- **May trade immediately?** No, as LLPs must be registered.

Companies Limited by shares

A company has a **separate legal identity** from that of its owners. The company may therefore own property, enter into contracts, sue, and be sued in its own name. The owners of shares in the company are known as shareholders or members.

Companies must be **registered at Companies House**.

Two types of companies:

1. **Private companies** – these companies are privately owned and the public cannot purchase its shares.
2. **Public companies** – higher regulatory requirements as these companies can offer their shares to the public.

Key characteristics:

- **Number of persons needed for set up:** Min. 1 person
- **Expenses when setting up:** Higher set up costs as there will be legal costs incurred in dealing with the company's constitutional documents, etc., as well as incorporation fees due to Companies House.
- **On-going expenses after the business is set up:** Accounts must be prepared by accountants annually. High on-going administrative costs because of the greater regulation and disclosure rules.
- **Management structure of the business:** Meetings of the directors and the shareholders are held in accordance with the **Companies Act 2006** and the articles.
- **Methods of financing:** Company can borrow + create floating charges. Again, if members give personal guarantees, limited liability is lost. Can raise finance by issuing shares – **ie. will be easier for a limited company to obtain financing**.
- **Liability to third parties:** The shareholders' liability to third parties is limited to the amount, if any, paid on their shares.
- **Publicity:** No privacy. Onerous disclosure requirements.

GENERAL PARTNERSHIPS

FORMATION:

A partnership is formed when: s.1 Partnership Act 1890

1. Two or more persons
2. Carry on business in common
3. With the intention to make a profit

Persons = includes companies, so two companies may form a partnership, or a human may form a partnership with a company.

Business = buying/selling goods or providing services for a fee.

In common = operating the business together.

Intention to profit = does not include intention to form a partnership, simply to make a profit.

Any number of partners may be involved.

A partnership is NOT formed when:

1. Parties jointly own property even if they share profits from the property
2. Simply sharing the gross returns on something does not create a partnership

Existence of partnerships:

No formality is needed to establish a partnership so a partnership can be formed without the specific intent of the parties to form one.

Profit sharing is prima facie evidence of a partnership. Even if it is unclear whether a partnership has formed or not, the partnership will be deemed to have been formed if there is profit sharing.

KEY CHARACTERISTICS:

Many partnerships are professional partnerships such as lawyers, accountants, surveyors and architects.

Key characteristics of a partnership:

- **Tax transparent**
- Allows for a high degree of confidentiality
- **Min of 2 people**
- **PA 1890** does not distinguish between actual and legal persons, so a company could be a partner.

Care needed:

- Very **easy to create unintentionally**, the partners do not need to use the word "partnership" to form one.
- Unlimited joint liability
- **The firm will be bound by the actions of anyone authorised to act on the firm's behalf.** Each partner is an agent of the firm and will bind the firm and other partners by contracting with third parties.
- All partners share a fiduciary relationship and have a duty not to compete with the firm by carrying out a similar business without the permission of the other partners.

Advantages:

- It **costs nothing** to create a partnership.
- May start as a partnership before converting to limited company.
- Cheaper administrative costs as no need to file profits
- Tax transparency – taxes flow through to the partners

RULES/PROCEDURES OF PARTNERSHIPS:

The default position without a Partnership Deed:

- **Profit-sharing Ratio:** partners are to share the profits equally even if the partners have not contributed equally.
- **No salary to partners**
- **Cannot expel a partner**

Authority to bind the partnership:

The partnership will be bound by a partner's acts if:

- The partner had authority to act
AND
- The partner shows intention to bind the partnership

Two types of authority:

- **Actual authority:**
 1. Express
 2. Implied – where the partner regularly acted, and the other partners did not stop it.

- **Apparent/ostensible authority:**

When a partner acts in the usual way of business, their act will bind the partnership **unless:**

- * The partner had no authority to act
AND
- * The person with whom the partner dealt with knew that the partner had no authority to act or did not know that the person they dealt with was a partner.

Decision-making:

Decisions are made by simple majority. However, for changing the partners' mutual rights and obligations, unanimous consent is required (can be express or inferred).

Partnership Property:

Each partner owns a share in the partnership property. An individual partner does not have a right to partnership assets.

The partners **cannot** use partnership property for **personal use**, these items/money can only be used for the purposes of the partnership.

Because of this, it is very important for you to be able to **identify** whether a property in question is partnership property.



Partnership property includes:

- * All money contributed by the partners.
- * All money the partnership has earned throughout its life.
- * Any **property brought into the partnership** by the partners for the purposes of the business.
AND
- * Any property purchased with partnership money.

In order for property to become partnership property, **the owner of the item must intend for the property to become partnership property.**

If one of the partners allows the other partners to use an item for the purposes of the partnership, this does not make item partnership property.

If an item **did not become** partnership property, the **partner may take the item** when they leave the partnership.

Personal liability for partnership debts:

Each partner is personally bound under the firm's contracts.

Contractual Liability: Every partner in a firm is liable **jointly** with the other partners for all the debts and obligations of the firm incurred whilst he is a partner.

Tortious Liability: **joint and several.**

A new partner will not automatically be liable in relation to any debts incurred by the partnership before he joined.

A partner will still be liable after he retires in respect of debts incurred by the partnership whilst he was a partner.

Unless:

- 1) The creditor agrees
- 2) You specifically absolve them
- 3) You novate the contract

Dissolution of partnership:

If no Partnership Agreement, use default provisions in PA 1890:

- * **Automatic dissolution:**
 1. Expiry of fixed term
 2. Death/bankruptcy of partner
OR
 3. If the partnership business becomes unlawful
- * **Dissolution of partnership at will** (ie. with no fixed duration) by notice from any partner

Where a partnership is wound up, once all debts and liabilities have been paid, any money/assets left will be distributed so that each partner is paid back his/her original capital first.

COMMON PROVISIONS IN PARTNERSHIP AGREEMENTS:

If no Partnership Agreement, PA 1890 default provisions (fall-back provisions) **will apply.** Default provisions are disadvantageous so advise your client to set up a Partnership Agreement.

Partnership Deed/Agreement provides certainty and thus low risk.

Profit-sharing Ratio:

Set a ratio for profit sharing to reflect how much each party has contributed.

Salary:

Allow for the partners to receive a salary and set out how much this would be.

Decision-making:

Set out the requisite majority required for certain decisions.

Common provision: unanimous consent requirement for expenditure.

Dissolution of partnership:

Under the fallback provisions, when a partner leaves, the partnership is dissolved. – But the other partners will not get their investment back.

Common provisions:

- * Clause stating that the remaining partners get their money back and the partnership stays as it is (Buy-out).
- * Clause stating that the partnership will not dissolve when a partner leaves.
- * Clause allowing for partners to be expelled.

Winding up partnership: Collecting in/distributing assets:

Common provision: a clause dealing with the proportion in which any surplus assets are to be shared out following dissolution. This is called the **asset surplus ratio (ASR)**.

If there is no agreed ASR then surplus assets are shared in accordance with the agreed **profit sharing ratio (PSR)**.

If there is no PSR then they are shared equally.

LIMITED LIABILITY PARTNERSHIPS

An LLP is a hybrid as it has the flexibility of a partnership with the added advantage of limited liability for its members. – **Common for Law firms.**

Limited Liability Partnerships Act 2000 The act governing limited liability partnerships.

An LLP is a **separate legal entity** from its members. But for tax purposes, it is treated as a partnership and the members will be taxed as partners, each being liable to pay tax on his share of the income of the LLP.

The members of the LLP are not personally liable and **their liability will be limited to their investment** similarly to companies.

FORMATION:

An LLP is formed when the partnership is **registered at Companies House**. – **even though limited liability may be desirable to the partners, if the partnership is not registered, the partners liability will not be limited.**

If there is no Partnership Agreement, the default provisions in the **LLPA 2000** will apply to the partnership. Once an **LLP Agreement** is drafted, its provisions will **override the act**.

When registering, submit:

- The name of the LLP (must end with LLP/limited liability partnership)
- LLP's registered office address
- Member's names and addresses
- Details of people with significant control

People with significant control – any of the below:

1. The person holds (directly/indirectly):
 - more than 25% of the surplus assets on winding up
 - more than 25% of the voting rights in the LLP
- OR
2. The person holds the right (directly/indirectly) to appoint or remove a majority of those involved in the management of the LLP.
- OR
3. The person exercises/has the right to exercise significant influence or control over a firm which meets any of the other two conditions above in relation to the LLP, or would do so if it were an individual.

KEY CHARACTERISTICS:

Key characteristics of an LLP:

- LLPs have a separate legal personality – **the partnership will not cease if a member exits the partnership or goes bankrupt.**
- Min of 2 people – may have only 1 member for the first 6 months, but they will be liable for the debts of the LLP.
- Members must have access to the books and records of the LLP.
- The members will not be liable for any acts/omissions of the other members committed while conducting the business.
- The LLP will be liable for the acts/omissions of its members.

RULES/PROCEDURES OF PARTNERSHIPS:

Standard rules – Unless there is contrary provision in the LLP Agreement:

- Members share the profits and assets of the LLP equally.
- Each member may take part in the management of the business.

An LLP must indemnify its members in relation to:

1. Payments made in the conduct of business
2. Liabilities incurred in the conduct of business
3. Anything done to preserve the business/property of the LLP

Duty to account:

1. If a member is conducting business in competition with the LLP **without** the LLP's consent, that member **must account for the profits** made in that business.
2. Members must account to the LLP for **personal benefits** derived from any transactions concerning the LLP, without the LLP's consent.

Duty to make certain documents publicly available:

- The LLP's annual accounts
- Annual confirmation statement
- The appointment/removal of members
- Changes to the details of members
- Changes to the registered office/name of the LLP

Liability for debts:

- The LLP is a separate entity and the liability of members is limited to the amount owed to the creditors.
- The members may be held liable for wrongful and fraudulent trading – **Insolvency Act 1986**
- **Clawback provisions:** if a member has withdrawn any property from the LLP within 2 years before it goes into insolvent liquidation and when he withdrew the property, he knew or had reasonable grounds to believe that the LLP was/was going to be unable to pay its debts, the court may make an order compelling the member to contribute to the assets of the LLP.

Termination:

- **Voluntary striking off/dissolution:**
 - A majority of the members may apply to Companies House for the LLP to be struck off/dissolved.
 - Members must notify the creditors in the London Gazette.
 - The LLP cannot be struck off if it has carried on business/changed its name in the last 3 months.
- **Insolvency:** an LLP can be liquidated (voluntarily/compulsorily) or put into administration.

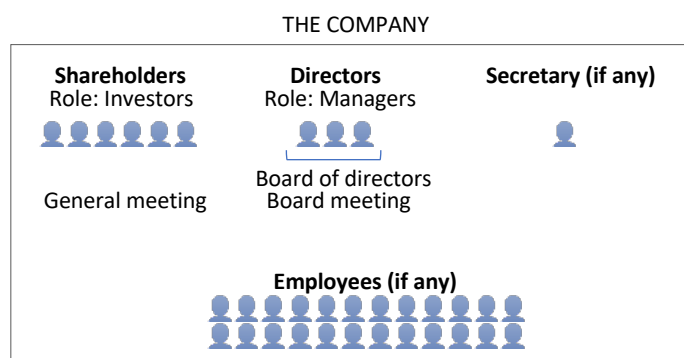
Taxation:

- Tax the trading profits (income tax) and capital gains (capital gains tax)
- Income tax/capital gains tax is paid by the partners.
- The taxation of partners is based on their profit sharing rights.
- **Stamp duty exemption:** no Stamp duty land tax (SDLT) is due if property is transferred within the first year of incorporation if the transfer was made by a partner.

THE NATURE OF COMPANIES

BASIC CONCEPTS OF COMPANY LAW:

The internal structure of a company:



The company will have shareholders and directors. It may also have secretaries and employees.

Shareholders:

Shareholders (members) = owners of the company. Shareholders invest a lump sum in the company and in return they receive a shareholding.

s.112(2) CA 2006 Membership begins when the member's name is entered in the company's Register of Members.

Subscribers = the first shareholders of the company who become shareholders when the company forms.

Shareholders pay for their shares and are entitled to profits on their shares. They usually also have the right to vote.

However, company properties and assets are owned by the company, not the shareholders. Change in the shareholders does not affect the property. – eg. **Tesco owns a number of retail sites and buildings, but the shareholders are not entitled to those.**

Directors:

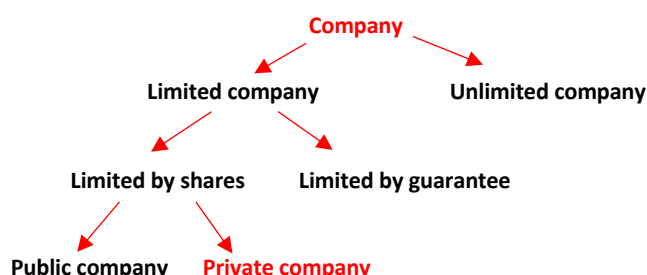
Directors = appointed managers who deal with the day-to-day operations of the company. – **they may also be shareholders, but they need not be.**

Directors together constitute the board of directors.

TYPES OF COMPANIES:

Companies Act 2006 The act governing companies.

Main types of companies:



Unlimited companies:

- * Rare type of company
- * Its members are personally liable for the debts of the company
- * It does not need to publish its accounts – higher degree of confidentiality

Companies limited by guarantee:

- * Used for non-profit organisations
- * Instead of shares, the members pay a fixed amount (guarantee), usually £1 to be paid out if the company is wound up.
- * No shareholders, members only. Must have at least one member.

Companies limited by shares:

- * Most common form of company
- * The members have a limited liability – limited up to the amount they paid for the shares.
- * Companies limited by shares may be private or public.

Differences between a private and public company:

	Private company	Public company
Name	Must end in 'Limited' or 'Ltd'	Must end in 'Public Limited Company' or 'Plc'.
Minimum shareholding	No minimum share capital, so it could be incorporated with just 1 share of 1p. Must have at least 1 share.	Must have a share capital with a nominal value of min. £50,000 – the setup costs are high.
Minimum number of directors	1	2
Company secretary	May choose to have a company secretary but it is not obliged to have one.	Must have a company secretary.
Certificate required before start of trading	Certificate of incorporation. Can commence business as soon as incorporated.	Certificate of incorporation. Cannot commence business until a trading certificate is issued by Registrar.
Annual general meetings	Need not have to hold an AGM although they can hold 1 if they want to.	Must have min 1 annual general meeting each year.
Method of payment and minimum amount payable for share capital	No restriction on method of payment. Shares can be issued without immediate payment.	Payments in cash only or where consideration has been independently valued. 25% of nominal value must be paid on allotment plus the whole of any premium.
Regulation	Prohibited to sell its shares to the public.	Audited accounts must be filed within 6 months of the accounting reference date. FSMA imposes considerable restrictions.

The main difference between public and private companies:

Only public companies can offer their shares to the public (hence the name). This is done through listing on the London Stock Exchange.

Listed companies:

- * It is not the company that is listed but the shares
- * Enables companies to raise large amounts in funds
- * Client must convert the company into a plc first and then apply for a listing on a stock exchange by making sure that they comply with all the relevant listings regulations.

SEPARATE LEGAL PERSONALITY:

Companies have a separate legal personality, meaning that they form a legal person from the date of incorporation. Due to this separate personality, the shareholders are protected from liability and their liability will be limited to the amount they paid for the shares.

A company is an entity that is distinct from its shareholders, directors, creditors and employees. It has a separate legal personality. A company continues to exist even if its shareholders and/or directors change.

Directors owe their duties to the company, not to the shareholders.

Shareholders have rights against the company, rather than against the directors. Third party contractors also have rights against the company, even though the directors sign the contract because they sign on behalf of the company.

The acts/omissions of the director will ultimately be the acts/omissions of the company and the company will be liable for such acts, not the director. However, the director can also be liable in certain situations.

The body corporate is able to exercise the functions of an incorporated company from the date of incorporation.

Date of incorporation = the date when all the necessary documentation is submitted to Companies House (the Registrar).

Owning property:

- Must own property in its own name
- Shareholders have no right to property.

Contracts:

- Must contract in its own name
- Directors must make the decision on behalf of the company whether or not to enter into a contract

Suing and being sued:

- A company as a legal person can take action to enforce its legal rights. – eg. if there is a customer who has failed to pay an invoice, the directors can take action in the company's name to enforce the payments.
- Company can be sued for breach of its legal duties. – eg. the company delivers faulty goods to a customer, then the customer can bring a claim against the company.

Lifting the veil of incorporation:

Lifting the corporate veil = disregarding the separate legal personality of a company. It is essentially an exception to limited liability and it means removing the veil of incorporation so that shareholders are liable for the debts and other obligations of the company. Different synonyms: lifting, penetrating, piercing the veil.

Narrow jurisdiction: the court can only lift the veil when it is deemed absolutely necessary – piercing the veil is **very rare in practice**. The reason for this is to maintain certainty and that the courts do not wish to undermine the purpose of incorporation.

Having incorporated therefore the company have a reasonable expectation that the courts will not dispute the separate legal personality of the company and will apply the rule in *Salomon v Salomon*. Therefore, they expect that the liability of the shareholders will be limited.

Even when the veil is pierced, the courts will only do this to the extent necessary to address the particular circumstance.

Lifting the veil:

1. **Fraudulent and wrongful trading:** if the director continues to trade while the company is insolvent, they may be liable for fraudulent/wrongful trading.
2. **Public limited companies trading without a Trading Certificate**
3. **If company group accounts are not filed:** this is only necessary for group companies.

COMPANY FORMATION AND CONSTITUTION

FORMATION:

Promoters:

The **promoter** is the person arranging the incorporation. They will be the ones registering the company with Companies House.

Companies cannot enter into contracts until incorporated.
If the promoter enters into contracts pre-incorporation, they will be personally liable for paying/fulfilling those contracts.

Protection for promoters:

- * Prepare the contract as a **draft** and only sign it once the company is formed.
- * Enter into a **novation agreement** after incorporation. – a novation agreement is a contract between the promoter, the contractor and the company where the parties agree that the promoter is to be substituted with the company.
- * **Assign the benefit of the contract** to the company after incorporation in return for the company agreeing to indemnify the promoter if the promoter is to be held personally liable under the original contract.

Incorporation methods:

Two incorporation methods:

1. Incorporating a new company from scratch
OR
2. Purchasing an existing shelf company

Incorporation from scratch:

Advantages

- * Traditionally slower, now with the advent of online incorporation services, **difference in speed is now negligible**, however incorporation can only take place during Companies House opening hours even if incorporated online.
- * Easier to prepare tailor-made articles, but then it would be more expensive due to legal costs and it would take longer.
- * Costs: Companies House fees, no legal fees involved

Send to the Registrar of Companies at Companies House:

1. The application form (Form IN01) with the relevant fee
2. **Articles of association:**
 - Model articles apply automatically
 - Company may entrench articles: notify the registrar
 - A company may choose to alter the articles

The IN01 application form must contain:

- Name of the company
- Registered office
- Memorandum of Association
- **A statement of capital setting out the following:**
 1. Total number of shares for the subscribers
 2. Aggregate nominal value of the shares
 3. Total number of shares in each class
 4. The amount to be paid up on each share
 5. Details of all subscribers
- Initial shareholdings + list of directors and their addresses
- If company limited by guarantee, details of the guarantee.
- Statement of compliance

Applications may take the Registrar of Companies up to **five days** to process, but you can pay a higher fee for same-day incorporation.

Once approved, the company receives a certificate of incorporation containing:

1. The name of the company
2. The date of incorporation
3. The company's registered number

The company becomes a legal entity from the date of incorporation.

Shelf company:

In this case, a shelf company has been set up in advance by a law firm ready to tailor it to the client's requirements. This was used to speed up the process of setting up a company, although now with online registration, this is becoming obsolete.

Advantages

- * The conversion of a shelf company retains the advantage of being available all the time on every day of the year.
- * If the client requires **complex tailor-made articles**: usually shelf companies are incorporated with Model Articles which will require a special resolution to change the articles – this may delay the company's start date for trading by 14 clear days unless the procedure can be shortened.

When a client requests a new company, change the following via shareholder resolution:

- * Articles – **s.21(1) CA 2006**
- * Members, directors and company secretary
- * Shares held by subscribers (those working at the law firm) are to be transferred to client
- * Client's representatives are appointed as directors
- * The first directors resign
- * Registered office

Company name:

- * The name cannot be misleading.
- * Name cannot be offensive
- * Name cannot suggest an association to government
- * Name cannot use sensitive words.
- * A private company's name must end with limited or ltd.

Name should not be the same as another company's name:

- * **Check at Companies House if the name is free***
 - Companies with a goodwill can object
 - SoS may require change of a similar name

CONSTITUTION:

All companies must have articles of association (articles for short). The main purpose of this document is to regulate the relationship between the shareholders, directors and the company.

The articles do not need to be filed at Companies House as these are supplied by the Registrar.

Example provisions:

- * Method of appointment of directors
- * Special rights attaching to shares
- * Powers of directors
- * Voting rights and how voting takes place

When advising a client, a lawyer must check the articles first.

Types of articles a company may adopt:

Model Articles	Amended Model Articles	Bespoke articles
These are a standard set of articles and there is a version available for private companies or public companies.	You might want to adopt the model articles but amend them slightly. This is good if the model articles are good for a starting point.	The articles have been drafted from scratch and they would have been specifically tailored to your company.

A company is free to choose its articles, as long as they do not contravene the CA 2006.

A private company incorporated under the CA 2006 will have the Model Articles by default, unless it chooses otherwise.

Objects of the company:

- * Objects of a company mean its objectives – eg. to operate an educational platform.
- * If the objects of a company are restricted, the directors must adhere to those restrictions and cannot operate the business to achieve an alternative objective.
- * If the articles do not restrict the company's objects, then the directors are free to operate the business as they see fit.

Relationship between CA 2006 and the articles:

A company may include procedures in the articles which are more onerous than the procedure set out in CA 2006. – eg. A Ltd could provide in its articles that it requires 5 directors voting in favour in its board resolutions, and so would need to comply with this requirement in its articles.

Exception – CA 2006 provisions overriding anything in the articles:

The right to demand a poll vote at a general meeting

Alteration of the articles:

1. By special resolution
2. Entrenched articles can be amended by agreement of all members or by a court order.
3. Any alteration must be made bona fide in the best interests of the company as a whole.
4. Alteration may adversely affect minority interests if it was made in good faith in the best interest of the company.

Entrenchment:

- * When voting on changing the articles, a special resolution (75% or more shareholders voting in favour of the change) is required.
- * Certain provisions of the articles may be **entrenched by the articles requiring a higher majority** to change those provisions. – eg. unanimous decision.
- * Alteration of the articles cannot be completely prohibited.
- * **The company must notify Companies House that its articles are entrenched.**

SHAREHOLDERS' AGREEMENTS:

Shareholders' agreement = A contract between some/all of the shareholders in their personal capacities, in which they can agree between themselves how to regulate their company's affairs.

Shareholders' agreements are not a requirement when setting up a company, however, many shareholders choose to enter into one.

Why to enter into a Shareholders' Agreement?

- The provisions of the articles are subject to CA 2006 limits.
- The shareholders may include commercially sensitive clauses unlike the articles.
- Shareholders' agreements are easier to enforce and will allow the shareholders to make a claim for breach of contract
- Shareholders' agreements may remain private while the articles are submitted to Companies House.

DIRECTORS AND OFFICERS

Officers of the company:

1. Directors
2. Company secretary
3. Company auditors

COMPANY AUDITORS:

CA 2006 Large companies must hire specialist accountants (auditors).

The accounts of small companies need not be audited; however the directors may appoint an auditor to audit the accounts.

COMPANY SECRETARY:

A public company must have a company secretary.

A private company is not required to have a company secretary unless the articles require so. – If a private company does not have a company secretary, the directors may do anything the secretary was required or authorised to do.

Main duties: *No prescribed duties*

- Keep the company books and records up to date
- Produce minutes of board and general meetings
- Make sure all necessary filings are made at Companies House

The acts of the company secretary will bind the company even if they were not authorised to act.

Qualification requirements of secretaries (public companies only):

Must have at least one of the below qualifications:

- Has been the secretary of a public company for at least 3 of the 5 years immediately preceding their appointment
- Is a member of a specified list of accountancy/secretarial bodies
- Is a UK barrister/solicitor
- Is a person who, due to their experience or being a member of a professional body appears to the directors to be capable of being a secretary.

DIRECTORS:

Directors are responsible for the day-to-day management of the company.

Directors must be natural persons; a company cannot be a director.

Director = any person occupying the position of director, by whatever name called. What is important is that they should fill in the role of a director. – eg. some articles refer to governors or managers, but they will still held to be directors.

Minimum age limit of 16 for directors.

Model Articles Directors may delegate specific powers.

The roles of directors and shareholders differ, even though they may be the same person.

Appointment:

Private companies must have at least 1 director.

Public companies must have at least 2 directors. – with at least one of the directors being a natural person.

Procedure to appoint new directors:

- This will be set out in the articles.
- Directors are appointed by ordinary resolution of the shareholders (see later) – **Model Articles**

Notice of change:

Companies must notify Companies House within 14 days of the appointment of new directors and the changes of their details.

Types of directors:

Executive directors

Directors who have been appointed to executive office. They are both an officer and employee of the company.

De jure directors = formally appointed directors.

De facto directors = directors in practice with no formal appointment.

Alternate directors

Not included in MA but may be provided for in articles. They act in the director's place if they are **incapacitated**, otherwise **engaged, or out of the country**.

Becoming obsolete as it is now possible to hold board meetings over the phone and pass board resolutions in writing.

Shadow directors

s.251 CA 2006 Shadow directors = someone with significant influence over the actions of a company without having been appointed to a leadership position.

Non-executive directors

An officer but not an employee of the company. They do not take part in the day-to-day running of the company but rather provide independent guidance and advice.

Nominee directors

Appointed to represent the interests of a particular shareholder.

Powers of directors:

Model Articles The directors must act collectively as a board and have the power to do all acts necessary for the management of the company's business. – The board must not exceed their powers.

Provided that the third party is acting in good faith, they are entitled to rely on the authority of the directors.

Power of an individual director to act on behalf of the company:

Model Articles The board is able to delegate. The board of directors do not always have to act collectively as a board.

TYPES OF AUTHORITY

Actual express authority	Actual implied authority	Apparent/ostensible authority
Authority to act regarding a specific transaction given formally by a board resolution. – eg. evidence of express authority is a copy of the board minutes granting the authority.	Directors can bind the company in acts which is usual for the director to be acting .	If the principal's words/actions reasonably lead a third party to believe that the director had authority, then the act of the director will bind the company.

Director acting without actual authority:

May have apparent authority whereby they don't need to have express authority to act.

If not, **the director could be liable to the company for any losses**. May have decisions ratified if the act benefited the company.

If the act was within the powers of the board: it could be ratified after the act by board resolution.

If the act was outside the powers of the board: ratify it by ordinary resolution of the shareholders.

Actions by the director which are outside both actual and apparent authority will not bind the company. In this case, third party may have a personal remedy against the director for breach of warranty.

Execution of documents:

Companies execute documents by:

1. The signature of two directors
2. The signature of a company secretary and a director
3. Affixing their company seal to the documents

Directors as decision-makers:

Directors will make day-to-day decisions as to the management of the company. Shareholders are the owners of the company and thus, certain, more important decisions will require their approval. – eg. decisions where the articles are to be altered or where a director have an interest in a transaction.

Resolutions = company decisions.

Two types of resolutions:

- Board resolutions
- Shareholder resolutions: ordinary resolution and special resolution

CA 2006 Lists decisions that require shareholder resolution. In addition to these decisions, the articles may also set out decisions that require shareholder resolution.

Board meetings:

Board meetings are conducted by the directors. The Model Articles govern the way board meetings are conducted. Can be held without great formality.

Board meetings are called to:

1. Make day-to-day decisions that don't require a General meeting (Ordinary resolution or special resolution)
AND/OR
2. Call General meetings where ordinary resolution or special resolution is needed.

Right to compensation and expenses:

- * **Model Articles** The board may determine what is fair compensation of the directors.
- * The company must also pay reasonable expenses, the directors incur in relation to attending meetings.

DIRECTORS' DUTIES AND REMOVALS

DIRECTORS' DUTIES:

Statutory duties found in: CA 2006, Insolvency Act 1986, common law and equity.

All of the statutory duties apply to directors, shadow directors and directors will be held liable even if they are no longer directors.

Provisions in the articles/a contract attempting to **exempt** a director from liability arising from breach of duty/negligence/breach of trust in connection with the company **is void**.

Basic fiduciary duty:

Directors have a fiduciary duty under the common law to act in good faith and the best interest of the company as a whole.

Duty to act within powers: s.171 CA 2006

Director must act within its powers (within the constitution)

Duty to promote the success of the company: s.172 CA 2006

Codified the previous common law duty requiring directors to act bona fide in the interests of the company.

Encompassed the 'Enlightened shareholder value'. Attempted to balance running a company to make profit (long-term interests) and the shareholder interests (short-term gains).

A director is required to have regard to the matters below:

1. The likely long-term consequences of any decision
2. The interests of the company's employees
3. The need to foster the company's business relationships with other stakeholders (= suppliers, customers, wider community)
4. The impact of the company's operations on the community and the environment
5. The desirability of the company maintaining a reputation for high standards of business conduct
6. The need to act fairly between the members of the company.

Duty to exercise independent judgment: s.173 CA 2006

Directors must exercise independent judgement by making decisions in relation to the company.

Duty to exercise reasonable care, skill and diligence: s.174 CA 2006

Examples:

- * They must not be negligent in making decisions in relation to the company.
- * They must make sure that they are on top of the company's finances and operations.

For the judging reasonability, take into account the knowledge, skill and experience:

- * That may be reasonably expected of a director (objective test)
AND
- * That the director actually has (subjective test)

Duty to avoid conflicts of interest: s.175 CA 2006

The interests of the director or that of a connected person should not conflict with the interests of the company. – eg. if the director has a second business selling furniture making a decision on whether or not the company should sign a contract for buying furniture from that business will give rise to conflict of interest.

The duty is not infringed if:

- The situation cannot reasonably be regarded as likely to give rise to a conflict of interest
OR
- The director discloses their interest in the transaction and the directors authorise the transaction despite the conflict of interest.

Secret profit:

The directors should not be making unauthorised profits from the company. – If authorised, then this won't be a breach.

Duty not to accept benefits from third parties: s.176 CA 2006

A director cannot accept benefits from third parties if those benefits are given to them because they are a director or doing anything as a director.

Exception:

Duty is not breached if the acceptance of a benefit cannot reasonably be regarded as likely to give rise to a conflict of interest.

Duty to declare interest in the proposed transaction: s.177 CA 2006

Must declare nature and extent of interest to other directors.

This duty includes a duty to disclose interests in existing transactions or arrangements. Very common when a new director joins the board.

Director must disclose their interest by:

- Written notice
OR
- Oral notice at the board meeting

Model Articles The director interested in the actual/proposed transaction with the company cannot form part of the quorum at the board meeting where the decision is made.

Exception – The director need not declare their interest if:

- * A conflict of interest is unlikely
- * The other directors are already aware of it
OR
- * It concerns the director's service contract

Loans to directors:

Directors must obtain shareholder approval before:

1. Entering into a loan/guarantee with the company.
OR
2. Giving security for a loan with a third party.

Shareholder approvals:

Shareholder approval in advance:

Shareholders may support a director's proposed action, and be prepared to approve it in advance, even if it would otherwise be a breach of the general duties.

Shareholder approval after the act (Ratification):

Shareholders can absolve a director of liability by ratifying the director's actions after it happened. – so it is always an option for directors to seek ratification.

Shareholders by ordinary resolution can ratify the following conduct of directors:

- Negligence
- Default
- Breach of trust
- Breach of duty

If a director holds shares, then votes to ratify their breach attaching to shares held by him/connected persons will be disregarded.

DIRECTORS' REMOVAL AND DISQUALIFICATION:

Directors are personally liable to indemnify (reimburse) the company for the loss caused and to account for any gain they made from their wrongdoing.

A breach of duty could be grounds for:

1. Termination of an executive director's service contract or
2. Disqualification

Removal:

CA 2006 Director may be removed by the ordinary resolution of the shareholders.

The shareholders must serve Special notice.

Special notice = 28 clear days between the notice of the removal resolution and the GM to pass the resolution.

Written resolution cannot be used to remove a director.

A director cannot be removed by fellow directors unless the articles are amended to provide for this.

Power usually may not be overridden:

Bushell v Faith It is possible for the articles to provide enhanced voting rights to a director at his removal resolution. This director cannot be removed irrespective of the number of shares he holds.

Steps a director can take to protect himself:

- Claim compensation as director's service contract is breached by their removal.
- The director may argue his case at the general meeting.

Retirement by rotation – for public companies:

Model Articles At the first annual general meeting, all directors must retire from office.

At every subsequent annual general meeting, the directors may be reappointed. – This is called the system of retirement by rotation.

Disqualification:

Company Directors Disqualification Act 1986 Directors can be disqualified from office for misconduct/unfitness.

Insolvency Act 1986 Directors can be disqualified for wrongful trading/because they are bankrupt.

General misconduct:

- Conviction of an indictable offence in relation to the promotion, formation, management, liquidation, striking off of a company, receivership of company property, being an administrative receiver.
- Breaches of company legislation in relation to filings at Companies House
- Fraud/fraudulent trading
- Summary conviction of an offence in contravention of/failure to comply with company legislation in relation to filings at Companies House

Unfitness:

- Directors can be disqualified under this heading for 2-15 years.
- Secretary of State may apply to the court for an order if it is in the public interest that a disqualification order is made.

DIRECTOR TRANSACTIONS

SUBSTANTIAL PROPERTY TRANSACTIONS:

Make sure to note down the **Net asset value, type of articles, names of the shareholders and directors** with their respective shareholdings after reading your question.

Example:

The directors of UCF Ltd decided to give a car worth £35,000 to one of the company's directors, Holly. The Net Asset Value of the company is £904,500 and the unamended model articles have been incorporated.

Shareholders: Max, Sam, others
Directors: Max, Sam, Agnes, Holly

Will Holly need to obtain ordinary resolution for the gift to go ahead?

State the general rule in s.190:

An arrangement requires ordinary resolution if the asset is a substantial non-cash asset and: s.190(1)

1. Company sells the asset to a director/connected person – **s.190(1)(a)**
OR
2. Company buys from a director/connected person – **s.190(1)(b)**

Is the transaction with a director or a connected person?

Director = includes shadow directors and former directors.

Connected persons = wide definition:

- * A member of the director's family: can be a spouse, partner, child, stepchild, parent – **not nephew/siblings.**
- * A company in which the director/connected person holds at **least 20% of the shares** either alone or together.

Is the asset substantial non-cash asset?

Where there are a **series of transactions**, the board only needs to obtain one ordinary resolution.

Non-cash asset = property/interest in property excluding cash. – **a loan is not a non-cash asset.**

Substantial non-cash asset =

An asset worth **£0 < x ≤ £5,000** is **not** a substantial asset.

An asset worth **£100,000 < x** is a substantial asset.

For multiple assets, use their aggregate value.

An asset worth **£5,000 < x ≤ £100,000** is a substantial asset only if it is worth more than **10% of the company's NAV.**

Is there a defence/exemption?

s.195(7) If the connected person or director had **no knowledge** that the company's rules were not complied with, **the person will not be personally liable** for the losses caused as a result of the transaction.

s.192(b) If the connected person is a connected company that is the **wholly-owned subsidiary** of another company, the **holding company will need to obtain the resolution**, not the subsidiary.

What if the director fails to obtain approval?

Shareholder approval in advance reduces the risk of breach.

The transaction will be voidable by the company unless: s.195(2)

- * The asset is now in the hands of a **bona fide purchaser for value.**
- * The shareholders **affirm the transaction** by ordinary resolution within a reasonable period. –

Directors who authorised the transaction would be liable to account for any loss/pay damages.

Duties triggered?

s.175 – Conflict of interest

s.177 – Declare that interest

MA 14 An interested director **cannot vote** and **cannot count in the quorum** for board resolutions to approve that transaction.

s.172 – Promote the best interest of the company

LOANS TO DIRECTORS:

Ordinary resolution is required before a company can make a loan (including quasi-loans/credit transactions) or give a guarantee to a director.

The ordinary resolution can be obtained:

- * Before the transaction is entered into
OR
- * After the transaction has been agreed

Exemptions:

In any of the following situations no need shareholders' approval:

- * **The funds were used to meet expenditure incurred on behalf of the company.** Max. total amount of **£50,000** or less.
- * **Minor and business transactions:** Loans or quasi-loans to a director up to **£10,000** can be given without shareholder approval. This figure rises to **£15,000** for credit transactions.
- * **A money-lending company**

Defence for any connected person and director who authorised the transaction **if they can show they had no knowledge of the circumstances constituting the contravention.**

Sanctions for non-compliance and for which persons?

The transaction will be voidable.

The arrangement can be affirmed by the shareholders of the company and the holding company (where relevant) **by ordinary resolution** within a reasonable time.

Must account for any gain made directly or indirectly from the transaction and **indemnify** the company for any loss or damage resulting from the transaction.

Statutory duties?

Directors must always comply with their duties. – **ss.172 and 177**

SHAREHOLDERS

INTRODUCTION:

Shareholders (members) = owners of the company. Shareholders invest a lump sum in the company and in return they receive a shareholding.

Membership begins when the member's name is entered in the company's register of members.

Subscribers = the first shareholders of the company who become shareholders when the company forms.

A shareholder can be a company or an individual.

Wholly owned subsidiary = company A owns 100% of shares in company B. In this case, A is B's parent or holding company. B will be included in A's accounts as an asset.

Subsidiary = company A owns shares in company B, however, it does not necessarily own all the shares.

Shareholders pay for their shares and are entitled to profits on their shares. They usually also have the right to vote.

However, company properties and assets are owned by the company, not the shareholders. Change in the shareholders does not affect the property. – eg. **Tesco owns a number of retail sites and buildings, but the shareholders are not entitled to those.**

By becoming a member of the company, shareholders acquire certain rights and powers.

Shareholder rights and powers:

- * Right to vote on certain decisions
- * Right to receive dividend ***potential right***
- * Right to receive a distribution on winding up ***potential right***
- * Right to make a claim if their membership rights are not upheld.

Person with Significant Control:

Since 1 Apr 2016, UK companies are required to identify people with significant control. The purpose is to increase transparency and combat terrorist financing/tax evasion.

Person with significant control (PSC) is any individual who:

- Owns more than 25% of shares/voting rights in the company
- Has the power to appoint/remove a majority of its board OR
- Otherwise exercises significant influence or control.

Relevant Legal Entity (RLE) = a company that would qualify as a PSC of a company if it was an individual.

Companies must take reasonable steps to identify their PSCs and RLEs. Failure to do so is a criminal offence.

Penalty: a fine or up to 2 years' imprisonment.

PSC register must be filed at Companies House alongside a confirmation statement.

DIVIDENDS:

Dividend = a return on the shareholder's investment.

Whether the shareholder has right to receive dividend will depend on the class of shares they hold.

CA 2006 Before paying a dividend, a company must check its relevant accounts to establish it has sufficient distributable profits and it **cannot pay a dividend if it does not have enough distributable profits.**

This rule relates to the rules on **capital maintenance**, which sets out that the capital that the shareholders invested in the company is not be returned to them.

Distributable profits = profits – losses made in the same year. – eg. if a company made £15,000 in profits, but made £2,000 losses, the amount of distributable profits available for paying dividends is £13,000.

Two types of dividends:

Interim dividends:

Can be declared without shareholder approval and can be cancelled by the directors prior to payment.

Final dividends:

Paid following the end of a company's accounting year and require shareholder approval. It becomes a debt payable once declared at GM.

Class rights:

There are different classes of shares with different rights attaching to them and these will be set out in the articles – eg. **different types of ordinary share, each carrying different rights such as voting or no voting rights**

The different shares provide varying rights to dividend:

1. **Ordinary shares** are the most basic type of shares. They all rank equally on insolvency.
2. **Preference shares** include the right to receive dividends and the holders of these shares will have priority over common shareholders when receiving dividends.

Features:

- * Holder receives a preferential right to receive dividend/recover capital on insolvency.
 - * This type of share may or may not include a right to vote.
 - * May be cumulative – this is where if dividend is not paid for a particular year, the right to that dividend will carry over to the next year.
 - * May be participating – this is where the shareholders are able to participate in ordinary dividend distribution.
3. **Cumulative preference shares** include the right to dividend which accumulates, and the amount will be carried forward if not paid in any given year.
 4. **Redeemable shares** are shares which allow the company to decide to redeem these shares at a later date. Beneficial for the company as they can reduce the amount they owe.

Procedure:

Model Articles The decision to pay interim dividend rests with the directors. – the articles might set out something different.

For final dividends, a two-stage process:

1. The amount of a final dividend must be **recommended** by the board of directors. – **Model Articles** AND
2. It must be declared in a general meeting by way of an **ordinary resolution** at which the relevant accounts will also be approved. Shareholders may decide to pay less but not more.

Payment of dividends:

- * Shareholders entitled receive the dividend will be those appearing in the **Register of Members** at the time of declaration.
- * If a company decides to pay dividend, it must pay to all shareholders holding the same class of share.
- * The articles will determine how dividends are to be distributed.
- * If the articles are silent on this, the dividend must be paid in proportion to the nominal amount of the shares.

Unlawful dividends:

If the dividend that was distributed was unlawful and the shareholder receiving it has a reason to believe it was unlawful, they will be liable to repay the dividend to the company.

Dividend is unlawful if: it was paid out of funds other than distributable profits. – eg. **if it was paid out of capital.**

RESOLUTIONS:

Shareholders hold General meetings where they make decisions on matters that affect the company's business.

General meetings (GMs) are called to:

1. Make decisions that require Ordinary resolution AND/OR
2. Make decisions that require Special resolution

Ordinary resolution = Simple majority, so more than 50%
Special resolution = 75% or more.

Ordinary resolution is required for matters that are less onerous and the **required majority** is also lower. Decisions that require special resolution will be more important and therefore, will require at least 75% of the voting rights to pass such a resolution. – eg. **if only 60% of the votes will be in favour of the decision, then the proposed action cannot go ahead.**

How do you tell which decisions require ordinary or special resolution?

You must look at CA 2006 or the Articles to find what the shareholders will be deciding on and these will set out if ordinary or special resolution is required.

DERIVATIVE CLAIMS:

A shareholder who believes that a **director** has/is about to **breach their duty** and against whom the board of directors will not enforce the company's rights to prevent/remedy the situation, may apply to the court to bring a derivative action against the director.

Requirements for a derivative claim:

- * Only a shareholder or a person who received shares may bring a derivative claim.
- * The claim must show a **prima facie** case for the relief sought.
- AND
- * The claim must promote the **best interests** of the company.

Any **damages** received in a derivative claim will **belong to the company**, so the shareholder will not receive any damages. However, they may be indemnified for the expenses they spent on pursuing the claim.

SHAREHOLDERS' RIGHTS:

Shareholders have the right:

- a) **To inspect the directors' service contracts.** – these service contracts must be kept at the registered office of the company for at least a years after the director leaves.
- b) **To inspect the Register of Members** – this will also be kept at the registered office. The company must comply with a request to inspect the company's Register of Members within 5 days.

PROTECTIONS OF MINORITY SHAREHOLDERS:

You would use these claims as a last resort.

This is also a good option for directors that have been removed that are also minority shareholders.

Unfair prejudice:

If a minority shareholder believes that the way in which the company's business is being conducted is **unfairly prejudicial to that shareholder**, they may make a petition to the court for a remedy.

The court will use the **objective test** to determine whether the conduct has been unfairly prejudicial.

Examples that could amount to unfairly prejudicial conduct:

- * Being excluded from decision-making
- * Being excluded from management where the shareholder had a legitimate expectation that they would be involved in the management of the company
- * Majority shareholders paying themselves excessively
- * Breaches of the articles

Difficult, expensive and time-consuming to bring a successful claim for unfair prejudice. – **A negotiated settlement is the preferred option.**

Winding up the company:

A shareholder may apply to the court for a winding up order which will wind up the company if the shareholder can prove that it would be **equitable** for the court to do so.

COMPANY DECISION-MAKING

Board meetings – meeting of the directors
General meetings – meeting of the shareholders

Decisions are made through board and shareholder resolutions.

If correct procedure is not followed:

- Resolutions passed may be invalid
- Potential criminal sanctions

BOARD MEETINGS:

Can be passed without great formality.

Board meetings are called to:

- Make day-to-day decisions that don't require a General meeting (Ordinary resolution or special resolution) AND/OR
- Call General meetings where ordinary resolution or special resolution is needed.

Who calls?

Model Articles Called by any director

Notice period?

Reasonable notice.

Quorum?

Quorum = Number of people required to attend a meeting in order for the meeting to be valid.

Model Articles The quorum may be fixed from time to time by the directors but **must never be less than 2** and unless otherwise fixed, it is 2.

Model Articles If the company only has 1 director, then the quorum is 1.

Decision-making?

Model Articles Decisions at BM are made by **board resolutions** passed either:

- On a simple majority
- OR
- By unanimity

Simple majority = more than 50%

Count 1 vote per director unless that director abstains.

Model Articles If there is only one director, they can take decisions on their own.

Model Articles Decisions are made on a **show of hands unless a poll is demanded**.

Casting vote?

Model Articles Under the Model Articles, the chairman, if one is appointed, will be able to use their casting vote if there is a deadlock. – eg. If there are 4 directors, 2 votes for a decision and 2 votes against it, then the director who is also the chairman will be given an additional vote to decide the resolution and break the deadlock.

What if someone abstains?

If a director abstains from voting on a decision, he will not be counted towards the number of people voting on that issue. – eg. If a board has 6 directors, and 1 abstains, count the votes out of 5. To get a majority, you would thus need 3 out of 5 voting in favour.

Alternative procedure – unanimity:

- Unanimous decision of the directors**
Directors can make decisions by unanimous agreement without having to hold a Board meeting
- All directors must indicate to each other that they share a common view "by any means".** – eg. a written resolution, telephone conversation.

SHAREHOLDERS' MEETINGS/GENERAL MEETINGS:

Matters are referred to the shareholders:

- Where a matter is outside of the powers of the directors – eg. making amendments to the articles
- OR
- A matter within the power of the directors but requires prior approval of the shareholders – eg. making a loan to a director

General meetings (GMs) are called to:

- Make decisions that require Ordinary resolution (OR) AND/OR
- Make decisions that require Special resolution (SR)

Ordinary resolution = Simple majority, so more than 50%

Special resolution = 75% or more.

How do you tell which decisions require OR or SR?

You must look at CA 2006 or the Articles to find what the shareholders will be deciding on and these will set out if OR or SR is required.

Notice of GM:

For a private company: call GM on 14 clear days' notice.

This notice excludes the day on which notice is given and the day of the meeting. – the 14 days must be 'clear' days.

1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
Day of Notice								14 clear days				Day of GM			

If the notice is posted:

If the notice is posted, it is deemed to have been received by the recipient 48 hours after it was posted. These 48 hours only include working days.

Working day = not weekend/bank holiday.

Shorter notice:

GM may be held by shorter notice if agreed by:

- A majority in number of the members who have a right to attend and vote the GM.
- AND
- This majority must together hold not less than **90%** the shares (95% for non-trading public companies).

Quorum?

The quorum is 2.

If the company has only 1 member, 1 qualifying person present is sufficient.

Decision-making?

Decisions are made on a **show of hands unless a poll is demanded**. – if you have 2 shareholders with a large shareholding, he is likely to demand voting by poll as this is more beneficial for them. One shareholder is not enough to demand a poll unless he is also a director.

Show of hands: each shareholder present at the meeting will be entitled to 1 vote, regardless of the number of shares held by that shareholder.
Poll: every shareholder has one vote in respect of each share.

Model Articles A poll can be demanded before the meeting or at the meeting either before or immediately after a show of hands has taken place.

Model Articles The chairman, the directors, 2 or more shareholders, or any member with not less than **10%** of the voting rights of those entitled to vote on the resolution can demand one.

Number of shareholders	Number needed to pass an OR	Number needed to pass a SR
3	2	3
4	3	3
5	3	4
6	4	5
7	4	6
8	5	6
9	5	7
10	6	8

DIRECTORS DECLARING INTEREST IN THE TRANSACTION:

Directors must declare their interest in any existing/proposed transactions, and this must be done by giving notice to the other directors.

Form of notice:

- No prescribed form for giving notice.
- Disclosure to the members is not sufficient.
- CA 2006** Notice may be given orally, in writing or by giving general notice.
- CA 2006** Notice must include the nature and extent of the director's interest. – eg. I am one of the owners of the company with which we are dealing.

Quorum:

Model Articles The director with a personal interest in the transaction will not be counted towards the quorum on that decision.

DIFFERENT TYPES OF PROCEDURES:

Full notice procedure:

This is the standard procedure. In this case, we must give 14 days notice for the GM which is the full notice.

Structure:

- * Board Meeting I
- * General Meeting
- * Board Meeting II
- * Post-meeting matters

Post Meeting Matters:

- * If the resolution held at the meeting affects any information filed at Companies House, a copy of the changes must be filed at Companies House within **14 days**.
- * Meeting minutes to be kept for all meetings.
- * **File forms at Companies House:**
 - Appointing new directors/company secretary/auditors
 - Terminating the contract of existing directors/company secretary/auditors
 - Changing the company name/address (whichever is relevant)
- * Update the register of members/director (whichever is relevant)
- * Issue new share certificates (if relevant).

Short notice procedure:

You can only use the short notice procedure if consent for short notice is obtained.

Approval for short notice must be given by:

- The majority in number of the members of the company – eg. **out of 6 shareholders, a minimum of 4 must consent**.
- Who together hold at least 90% of the shares of the company.

Structure:

1. Have the Board Meeting, then adjourn it.
2. General Meeting
3. Reconvene the same Board Meeting on the same day
4. Post-meeting matters

Post Meeting Matters:

- * If the resolution held at the meeting affects any information filed at Companies House, a copy of the changes must be filed at Companies House within **14 days**.
- * Meeting minutes to be kept for both meetings.
- * Consent to short notice document must be filed at Companies House.
- * **File forms at Companies House:**
 - Appointing new directors/company secretary/auditors
 - Terminating the contract of existing directors/company secretary/auditors
 - Changing the company name/address (whichever is relevant)
- * Update the register of members/director (whichever is relevant)
- * Issue new share certificates (if relevant).

Written resolution procedure:

Only private companies may pass a shareholders' resolution by way of a written resolution.

If this is approved, the company will hold a written resolution instead of a General meeting.

Structure:

1. Have the Board Meeting, then adjourn it.
2. Written resolution
3. Reconvene the same Board Meeting on the same day
4. Post-meeting matters

The directors must circulate the written resolution to all eligible members.

If there is a company representative: they can indicate agreement to the resolution by signing a copy of the draft written resolution.

A written special resolution must state it is a special resolution. The written resolution document must be signed, dated and returned by each member. All votes on written resolution are on a poll.

Post Meeting Matters:

- * If the resolution held at the meeting affects any information filed at Companies House, a copy of the changes must be filed at Companies House within **14 days**.
- * Board meeting minutes to be kept.
- * Keep a record of the written resolution.
- * **File forms at Companies House:**
 - Appointing new directors/company secretary/auditors
 - Terminating the contract of existing directors/company secretary/auditors
 - Changing the company name/address (whichever is relevant)
- * Update the register of members/director (whichever is relevant)
- * Issue new share certificates (if relevant).

REQUIREMENTS FOR DIFFERENT MATTERS:

Matters requiring shareholder approval by ordinary resolution:

- * Appointment of auditors
- * Appointment/reappointment of directors
- * Removal of a director
- * Removal of an auditor
- * Adoption of annual accounts
- * Adoption of directors'/auditors' reports
- * Declaration of dividends
- * Allotment of shares
- * Approval of a substantial property transaction involving directors with a personal interest in it
- * Ratification of a director's breach of duty
- * Entering into a service contract with a director for a term of more than 2 years
- * Making a loan to a director
- * Giving a director loss of office payment/gift after leaving office

Substantial property transactions:

If a director buys/sells property from/to the company for **less than £5,000**, the transaction will be considered de minimis, and will **not** need shareholder approval.

If the value of the property purchased/sold is **more than £100,000**, it will be automatically considered a substantial property transaction.

If the value of the property is **between £5,000 and £100,000**, you need to look at the value of the company (Net Asset Value) to determine whether the transaction will amount to a substantial property transaction. If the transaction exceeds **10%** of the company's Net Asset Value, then it will be deemed to be a substantial property transaction.

Matters requiring shareholder approval by special resolution:

- * Any decision relating to the buyback of company shares
- * Changes to the company's articles
- * Changes to the company's name

COMPANY RECORDKEEPING AND FILING

RECORDKEEPING:

Registers:

Companies Act 2006 Companies must keep a number of **registers** available to the company's members for inspection for free or the public for a fee:

- * A register of members
- * A register of directors
- * A register of secretaries
- * A register of charges against the company's assets
AND
- * A register of people with significant control (PSC)

Minutes:

- * Minutes of all general meetings must be kept and available for inspection by members of the company for at least 10 years.
- * Minutes of board meetings

Directors' service contracts:

Copies of service contracts must be kept and made available for inspection by the members for at least one year beyond the term of the contract.

COMPANIES HOUSE FILING:

Companies must file at Companies House the following each year:

1. Confirmation statement
2. Company accounts
3. Directors' report – medium and large companies only
4. Strategic report – medium and large companies only

Medium and large companies = companies with more than 50 employees or a turnover of £10 million or more.

Annual confirmation statement:

The annual confirmation statement must **confirm that the information at Companies House is up to date.**

It is a criminal offence to fail to file the confirmation statement within 14 days of the end of the company's review period.

Company accounts:

Private companies must file their accounts at Companies House no later than **9 months** after the relevant accounting reference period.

Public companies must file their accounts at Companies House no later than **6 months** after the relevant accounting reference period.

The accounts must include a Balance Sheet, Profit and Loss Account giving a **true and fair view** of the company's financial year.

The directors must approve the accounts verifying their belief that they are satisfied that the accounts give a true and fair view of the company.

Annual directors' report:

Medium and large companies only

Medium and large companies must file an **annual directors' report** which names the directors and state the amount that the directors recommend should be paid as dividend (if any).

Annual strategic report:

Medium and large companies only

Medium and large companies must file an annual strategic report to give the members a comprehensive view of the development/performance of the business so the members may assess the directors' performance.

BUSINESS LETTERHEADS:

The letterhead of a company must disclose:

- * Its registered name
- * The part of the UK in which the company is registered
- * The company's registered number
- * The address of the company's registered office
- * If a company choose to display the name of **any director** on its letterhead, it must include the name of **every director** on the letterhead.
- * A change in name requires approval by special resolution.

The letterhead of a partnership must disclose:

- * The name of the partnership
- * The name of each member of the partnership
AND
- * The partnership's business address

A sole trader's letterhead must include:

- * The individual's business name
- * The individual's real name if that is different from the business name
AND
- * The business address.

RAISING FINANCE

Equity finance:

Equity finance = money raised by issuing shares. In return of their purchase money towards the shares, the shareholders have certain expectations which are the benefits of these types of investments.

Benefits to the shareholders

Dividends: A share in the company's profits. However, dividends can only be paid out of profits.	Capital return: Increase in share value. If the shares sell for a greater amount than the amount the original purchase price, the shareholder keeps the difference.	Voting rights: This keeps the shareholders involved in the running of the company.
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Debt finance:

Debt finance = money raised by borrowing money from the bank/other lenders in the form of a loan.

Types of debt finance: loan finance and debt securities.

EQUITY FINANCE:

Shares and their features:

Nominal or par value:

Shares must have a fixed nominal value – eg. 1p, 5p or £1

Nominal value = the minimum subscription price for that share. It represents a unit of ownership rather than the actual value of the share.
Market value = often higher than the nominal value and it constantly changes.

Eg. a share's nominal value may be £1, but it may be sold on the market for £2.50.

The excess over nominal value is the 'premium' – eg. Market price (£2.50) – Nominal value (£1) = £1.50

Issued, allotted, paid-up and called-up shares:

Issued share capital = the total amount in value (nominal and premium) of all shares in issue at any point in time. – This is the amount of share capital that will be shown in the company's accounts.

Issued share capital is made up of:

- **Subscriber shares** = shares purchased by the first members of the company.
- **Further shares** will be issued once the company has been incorporated.

Allotment = shares are 'allotted' when a person acquires the unconditional right to be included in the company's register in respect of those shares.

Issue of shares = shares are only issued, and only form part of a company's issued share capital once the shareholder has been registered.

Paid-up share capital = the amount paid on shares.

Called-up share capital = the outstanding payment on shares that has been demanded by the company.

Transfer of shares:

Shareholders may decide to sell their shares to third parties. The right to transfer the shares is governed by the articles.

Model Articles for private companies The company directors have the absolute power to stop the shareholders from selling their shares.

Issuing new shares:

Generally, the **directors have the power to allot new shares** if the company has **only one class of shares** and there is no restriction removing this power in the articles. – There is no such restriction in the Model Articles.

To issue new shares in any other situation, directors must seek ordinary resolution from the shareholders.

General procedure for issuing shares:

- * Directors will decide on the price and number of shares to allot and will hold a resolution to allot shares.
- * Shares are issued in exchange for cash in general, but the directors may accept property for shares as well.
- * The full value of the shares must be paid to the company on allotment. – **Model Articles**
- * If the shares have a nominal or par value, the money received on account of the value will be added to the company's share capital.
- * The premium amount must be recorded separately in the Share Premium Account.
- * The **new shares must be first offered to the existing shareholders**, unless the articles provide otherwise (the Model Articles do not). – this is because existing shareholders have a pre-emption right.

Pre-emption rights and related rules:

- * The shares must be offered on the same terms for which the shares would be offered on the open market.
- * The existing shareholder must be given at least 14 days to accept.
- * The pre-emption right does not apply to shares issued for non-cash consideration.
- * The pre-emption right may be disapplied by special resolution.

DEBT FINANCE:

Two types of loans:

- **Unsecured loan:**
A contractual promise to repay the money borrowed.
- **Secured loan:**
A contractual promise to repay the money borrowed where the Lender receives the right to take collateral (property) if the loan is not repaid as specified in the Loan agreement.
 - * **Mortgage:** The security provider retains possession of the asset but transfers ownership to the creditor.
 - * **Charge:** The Lender gets an equitable interest in the sale proceeds of an asset. As well as this equitable proprietary interest, the charging document will give the lender contractual rights over the asset. – eg. to appoint a receiver or administrator to take possession of it and sell it, if the debt is not paid back.
 1. **Fixed charge:** a charge taken over a specific asset – eg. a machinery.
 2. **Floating charge:** a charge taken over a class of assets that are frequently changing. – eg. stock. This charge, on crystallisation, becomes fixed on the assets and is enforceable as a fixed charge.

Charges and mortgages against a company asset must be registered at Companies House within 21 days of creation.

Debt security = a document which serves as evidence of the loan made to the company. This document may be traded.

INSOLVENCY PROCEDURES

Insolvency = where a person/business is unable to pay its debts.

DIRECTORS' DUTIES ON INSOLVENCY:

When the directors become aware that insolvency is a possibility, they must take action to **assess if the company should continue to trade**.

On insolvency, directors should:

- * Seek advice from a financial advisor/insolvency practitioner
- * Have regular discussions (possibly daily) to assess the company's financial position and decide whether or not to cease trading. They should voice concerns, suggesting reduction on liabilities at BM and keep minutes of these meetings to demonstrate that they have complied with their duties.
- * Not take on more debt as this would be a breach of duty or even wrongful trading
- * Pursue debtors rigorously

Once there is a prospect of insolvency, the directors' duty to promote the success of the company will be subject to any law requiring directors to **protect the interests of the creditors instead**.

If the directors continue trading when there is no reasonable prospect that the company will be able to avoid insolvency, they may be personally liable for any losses. – see Voidable Transactions below.

PRE-INSOLVENCY MORATORIUM:

Corporate Insolvency and Governance Act 2020 A **pre-insolvency moratorium is now available for companies** in addition to the existing moratorium procedures (administration and CVA).

Moratorium = a period stopping all insolvency/legal proceedings against the company. It allows for the directors to negotiate with the creditors or to propose a CVA/restructuring plan/Scheme of arrangement.

While the moratorium is in effect:

- No enforcement of security is allowed by floating charge holders.
- An administrator cannot be appointed.
- A floating charge cannot crystallize into a fixed charge. – **This is different to other types of moratorium.**

Requirements:

1. The company must be in financial difficulty to apply and must intend to use this time to agree a long-term solution with its creditors.
2. **The court will only grant a pre-insolvency moratorium if it is likely that the company can be rescued as a going concern.**
3. **The moratorium can only continue if it is still likely that the company can be rescued as a going concern and the company is also able to pay its moratorium debts and pre-moratorium debts when due.** – Monitor will constantly check the company's finances and if the requirements cease to exist, the monitor must bring the moratorium to an end.

Length:

20 days which may be extended once for another 20 days.

For further extension up to 12 months in total; extension must be approved by at least 50% in value of the secured and unsecured creditors or court order.

INFORMAL NEGOTIATIONS:

The directors may enter into informal negotiations with the creditors.

During the negotiations, the company will seek:

To restructure its debt on more favourable terms or refinance the debt by entering into a new contract – a **Restructuring Agreement**.

In return the company may have to do the following:

- * Grant new/additional security
- * Sell subsidiaries to raise cash
- * **A debt for equity swap:** issue new shares to the creditors

SCHEME OF ARRANGEMENT:

The directors may enter into a Scheme of Arrangement (SoA).

Scheme of Arrangement = an agreement binding all creditors (including dissenting/unknown creditors).

Can only be made by preferential and unsecured creditors, fixed and floating charge holders will **not** participate in a scheme of arrangement because they can simply enforce the security under the terms of the loan agreement.

Use SoA:

- * in group insolvencies and restructuring.
- * if a company wishes to compromise secured liabilities and it does not have 100% agreement among creditors.

COMPANY VOLUNTARY ARRANGEMENT:

The directors may enter into a Company Voluntary Arrangement (CVA).

Company Voluntary Arrangement = an agreement allowing the company to settle its debts by paying only a portion of the monies owed. This agreement will **bind all creditors** (including dissenting/unknown creditors).

Can only be made by preferential and unsecured creditors, fixed and floating charge holders will **not** participate in a scheme of arrangement because they can simply enforce the security under the terms of the loan agreement.

Setting up a CVA:

1. The directors prepare a written proposal for repayment nominating a **licensed insolvency practitioner** (nominee) as the supervisor.
2. The nominee will seek creditors' approval using a permitted decision-making procedure.
3. The compromise **must be agreed by 3/4** in value of the creditors.
4. The nominee must call a separate shareholder meeting passing an ordinary resolution.
5. Must be sanctioned by the court.
6. If the company does not fulfil its obligations under the CVA, the company will be wound up.
7. Creditors can challenge a CVA within 28 days on grounds of:
 - Unfair prejudice
 - Material irregularity (procedure was not followed)

Moratorium:

- * Enter into administration before a CVA to get a moratorium.
- * Protects the company from creditor claims
- * **Directors of small companies can apply to the court for a 28-day moratorium.**

A company is a small company if it satisfies two or more of the below:

- * Its turnover is not more than £6.5 million
- * Its Balance sheet is not more than £3.26 million
- * It does not have more than 50 employees

Pros and cons of a CVA:

Pros for creditors:

- Could carry out profitable trading during the moratorium, so may get more than on insolvency
- CVA costs less than insolvency proceedings.
- For floating charge holders, no risk of avoidance.

Cons for creditors:

- Supervisor has no power to challenge past transactions unlike a liquidator or administrator
- Many companies will not qualify for a moratorium.

Pros for directors:

- Supervisor has no power to challenge past transactions
- Directors retain control of the company
- The company's goodwill is preserved

ADMINISTRATION:

If enforcing a floating charge – use the Administration procedure.

Debenture = the document setting out the floating charge. The debenture will include a **provision giving the charge holder the right to appoint an administrator/administrative receiver** if the company defaults. – if the debenture contains this provision, the floating charge will be a qualifying floating charge.

Procedure:

Court procedure:

The shareholders, board of directors, any creditor, liquidator or supervisor of a CVA can apply to the court to appoint an Administrator.

Out-of-court procedure:

Only the company, directors or a qualifying floating charge holder (QFCH) can appoint an administrator using the out-of-court procedure.

1. **If a QFCH appoints the administrator/administrative receiver:**
 - They can appoint an administrator/administrative receiver if the charge was created before 15 Sep 2003.
 - An administrator cannot be appointed if one has already been appointed.

- To appoint, file a notice of appointment at court, serves notice on any prior QFCH and the appointment commences on the date of the filing.

2. If the directors/the company appoint the administrator:

- File notice of intention to appoint an administrator at the court
- Serve it on any QFCH giving them 5-days' notice.
- QFCH may appoint their own administrator within 5 days
- The directors will file a notice of appointment with the court within another 5 days.

Once the administrator/administrative receiver is appointed:

Administration procedures allow for a statutory **moratorium** arising immediately when the administrator is appointed.

No winding up petitions/other claims can be made and no steps can be taken to enforce any security.

Administrator's appointment terminates automatically after 12 months.

Administrators' duties:

- * The administrator runs the company – directors can make no decision without consent.
- * The administrator is an officer of the court, with a duty to the court to act in the interest of all creditors.
- * They can pay a dividend to secured creditors and **can now pay the prescribed part dividend to unsecured creditors**. The administrator will seek court permission to make the dividend payment or will propose a CVA or SoA to be able to pay.

Pros and cons of Administration:

Pros for a QFCH: • May avoid bad publicity • Will prevent the other creditors from taking action • Past transactions can be challenged	Cons for a QFCH: • Costs of court order and fees of administrators • 5 days delay whilst administrator is appointed • QFCH does not control whether floating charge assets will be sold • unlike for a CVA the website and communications of the company must state that it is in administration.	Pros for a company: • The aim of an administrator is to save the company while the aim of an administrative receiver is to maximise assets to repay the creditor.
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RECEIVERS:

The directors may decide to call in a receiver.

Types of receivers:

- Fixed charge receivers:**
Appointed by the holder of a fixed charge. A fixed charge receiver becomes the receiver **only of the property charged** and is only entitled to deal with that property.
- Administrative receivers: *Most common***
The receiver is appointed under the debenture's terms which includes a floating charge security. This security must cover **the whole/substantially the whole** of the company's property:
 - * ARs have their powers set out in the debenture document unless they are expressly excluded.
 - * There is no moratorium period here
 - * **Only an option for Pre-15 Sep 2003 QFCHs.**

LIQUIDATION:

The directors might decide to go into liquidation and wind up the company.

Go into liquidation and wind up the company to realise and distribute the company's assets in the order of priority.

The company is dissolved within 3 months.

Three types of liquidation:

- * Compulsory liquidation
- * Members' voluntary liquidations (solvent liquidations)
- * Creditors' voluntary liquidations (insolvent liquidations)

Compulsory liquidation:

A petition to the court can be issued by any creditor, Administrator, AR, Supervisor of CVA or the company itself through its directors or shareholders (where there are insufficient assets to fund a voluntary liquidator).

Because a QFCH may appoint an administrator out-of-court if the company defaults on the loan repayments, **it is usually an unsecured creditor who will apply to the court for a winding up order.**

The only ground for a liquidation petition is that the company is unable to pay its debts.

Proof of inability to pay debts:

1. Statutory demand (£750 ≤ x) unpaid for 3 weeks
2. Unsatisfied judgment against debt owed
3. Cash flow test
- OR
4. Balance sheet test – **more onerous than the cash flow test.**

Cash flow insolvency = the company has insufficient income to pay for its debts.

Balance sheet insolvency = the company has insufficient assets to pay for its debts.

Creditors' voluntary liquidations:

This is a form of insolvent liquidation commenced by resolution of the shareholders but controlled by the creditors.

The shareholders will pass:

- * A special resolution to approve the CVL
- AND
- * An ordinary resolution appointing a liquidator but within 14 days a creditors' meeting will be convened to either approve the liquidator or put forward their own choice of liquidator.

The liquidator is the **de facto agent of the company**. The directors lose their powers upon the liquidator's appointment.

The liquidator's function:

1. To **realise the company's assets for cash**
2. To **identify the company's creditors** and the amount owed to them and then pay a dividend to the creditors proportionately
3. To **maximise the assets available for distribution to the company's creditors by:**
 - * **Challenging voidable past transactions** or to sue the directors for wrongful/fraudulent trading.
 - * **Disclaiming onerous property** available equally in both solvent and insolvent liquidations. – **lease of land.**

Liquidator: will usually sell assets on a piece-meal basis rather than selling the assets and business as a going concern.

Where there is a dividend to be paid to unsecured creditors, companies may enter into liquidation after the administration comes to an end. In such a case, the purpose of the liquidation will be payment of a dividend.

STEPS ON INSOLVENCY

If the directors conclude that the company is unlikely to be able to trade out of its difficulties, they have several options:

- * Do nothing – however, directors might be held liable for wrongful/fraudulent trading and could be disqualified. Directors may be in breach of their statutory duties.
- * Enter into pre-insolvency moratorium
- * Enter into informal negotiations with the creditors
- * Enter into a Creditors' Voluntary Arrangement
- * Enter into a Scheme of Arrangement
- * Go into administration
- * Call in a receiver
- * Go into liquidation and wind up the company

The company may also need to bring in new management and/or replace existing directors.

SELECTING THE RIGHT PROCEDURE:

Directors selecting the procedure

If the directors want to save the company	Enter into a consensual agreement binding only on those creditors which agree to it. No insolvency procedure will be needed.
If the directors want to seek compromise with creditors	Enter into a pre-insolvency moratorium or go into administration prior to entering into a Scheme of arrangement or Creditors' Voluntary Arrangement.
If the directors need time during which creditors cannot force insolvency	Enter into a pre-insolvency moratorium or go into administration.
If the company cannot be saved, but its business can be saved	Enter into a pre-insolvency moratorium or go into administration to protect the business from creditor action.
If neither the company nor its business can be saved	Enter into administration, then liquidation.

Secured creditors selecting the procedure

If the creditor wants a compromise with the company	Enter into a consensual agreement with the company binding only on those creditors which agree to it. No insolvency procedure will be needed.
If the creditors want to enforce a floating charge	Enter into administration.
If the creditors want to enforce a fixed charge/mortgage	Appoint a fixed charge receiver.
If the creditors want to enforce a pre-15 Sep 2003 qualifying floating charge	Enter into administration or administrative receivership.
If the creditor is a high street bank	Send a reservation of rights letter and do nothing.

Unsecured creditors selecting the procedure

If the creditor wants a compromise with the company	Enter into a consensual agreement with the company binding only on those creditors which agree to it. No insolvency procedure will be needed.
If the creditor wants a compromise where all creditors are bound	Enter into a Creditors' Voluntary Arrangement or Scheme of Arrangement.

If the creditors want to take over the running of the company in the creditors' interests	Enter into administration.
If the creditors serve a statutory demand which is not paid	Petition to the court for Compulsory liquidation
If the creditors sue, obtain judgment which remains unpaid	Enforce the judgment debt

PROCEDURE MAP:

KEY: FIRST → THEN – eg. A CVA becoming Administration.

CVA → ADMINISTRATION

An administration is **unlikely** to follow a CVA but may follow if the creditors vote down a CVA proposal or a CVA terminates.

CVA → ADMINISTRATIVE RECEIVERSHIP

A QFCH would usually have the right to enforce its security and appoint an AR under a pre-Relevant Date floating charge if the debtor proposes a CVA to its unsecured creditors.

CVA → LIQUIDATION

Unlikely but if a company does not fulfil its obligations under the CVA, the supervisor will petition the court for a winding up order.

ADMINISTRATION → CVA

Possible. The administrator (but not the directors) may propose a CVA during the administration.

ADMINISTRATION → ADMINISTRATIVE RECEIVERSHIP

Not possible.

ADMINISTRATION → LIQUIDATION

May occur only after administration has come to an end.

ADMINISTRATIVE RECEIVERSHIP → CVA

Possible in theory but in practice it does not happen.

ADMINISTRATIVE RECEIVERSHIP → ADMINISTRATION

Only possible with a court order.

ADMINISTRATIVE RECEIVERSHIP → LIQUIDATION

Possible. Following the conclusion of an administrative receivership, the company will usually go into liquidation.

LIQUIDATION → CVA

Possible. The liquidator (but not the directors) may propose a CVA in the course of the liquidation.

LIQUIDATION → ADMINISTRATION

Not possible.

LIQUIDATION → ADMINISTRATIVE RECEIVERSHIP

Possible. Usually a petition to appoint a liquidator in an event of default. This would entitle a QFCH to appoint an AR. If an AR is appointed, the liquidation and receivership will run concurrently.

ORDER OF PRIORITY ON WINDING UP:

Order of priority = the order in which a company's assets are distributed when it is wound up.

Order of priority:

1. Liquidator's fees/expense
2. Amount due to fixed charge creditor
3. Other costs/expenses of the liquidation
4. **Preferential creditors:**
 - Holiday pay due to employees
 - Wages due to employees in the last 4 months
 - HMRC in relation to unpaid VAT, PAYE and NI contributions
5. **Create the prescribed part fund from floating charges for unsecured creditors**
Must be paid to unsecured creditors in full if under £10,000. If more than £10,000, then 50% of the first £10,000 and 20% thereafter up to £600,000 is set aside for the unsecured creditors and the rest goes to floating charge holders.

6. **Creditors with floating charges**
Two people has the same charge – share equally (pro rata).
Two charges: If there is a deed of priority – pay out according to it. If no, then the charge that is created first (if registered within 21 days)
7. **Unsecured/trade creditors (including payment of the prescribed part)**
Ordinary trade creditors, secured creditors who did not get fully paid, taxes (Crown debts), employees' outstanding pay
Rank and abate equally.
8. Interest from the start of the winding up proceedings owed to unsecured creditors.
9. Shareholders – Preferential shareholders are in priority to ordinary shareholders.

BANKRUPTCY

Bankruptcy = a judicial process in which the assets of the person who is bankrupt are passed to a third party called the trustee in bankruptcy.

The **trustee in bankruptcy** will liquidate the assets and use the money from the liquidation process to pay off as many of the debtor's debt as possible.

BANKRUPTCY PROCESS:

1. **A bankruptcy application should be made:**
 - * Bankrupt may make a bankruptcy application online.
 - * One/more of the debtor's unsecured creditors owed at least **£5,000** can submit a petition for a bankruptcy order.
OR
 - * The supervisor of an Individual Voluntary Arrangement can petition for a bankruptcy order if the debtor is in default of the Individual Voluntary Arrangement.
2. **After the application is made**, the debtor's creditors cannot continue to chase after the debtor and the debtor will be discharged from most of their debts after one year.
3. **If an application is made by the creditors:**
 - * **The application must prove that** the debtor is unable to pay their debts by showing that:
 - The debt is payable immediately and that the debtor does not have funds to pay.
OR
 - The debt is payable in the future and the debtor has no reasonable prospect of being able to pay.
 - * If the debtor owes a **liquidated debt** for £5,000 or more, the creditor may make a statutory demand for payment. – If the debt is not paid within **3 weeks**, or the debtor does not apply to set aside the statutory demand within 3 weeks, the debtor will be deemed insolvent.
 - * If the debtor owes a **future liability** of more than £5,000, the creditor may serve a statutory demand for a proof of ability to pay and if the debtor does not show a reasonable prospect of being able to pay the debt when it falls due or apply to court to set aside the statutory demand, the debtor will be deemed insolvent.
 - * If the debtor owes a judgment debt of more than £5,000, the creditor can seek to execute on the judgment, if the attempt fails, the debtor will be deemed insolvent.
4. After the bankruptcy order is made, an official receiver is appointed who will act as the **trustee in bankruptcy** unless the creditors seek to appoint their own nominee.
5. The debtor's **properties will automatically vest in the trustee, except for the following, which is kept by the bankrupt:**
 - * Anything necessary for day-to-day living
 - * Tools required for their job
 - * Their salary
6. **During the bankruptcy proceedings, the bankrupt cannot:**
 - * Apply for credit over a prescribed amount.
 - * Act as a company director
 - * Be a partner
 - * Trade under another name
7. **The trustee must pay creditors in this order:**
 - * Costs of the bankruptcy
 - * Preferential debts, including employee wages for 4 months and money owed to HMCR for taxes and NI contributions
 - * Ordinary unsecured creditors
 - * Postponed creditors (spouse/civil partner)
8. A bankrupt who has caused the bankruptcy by their own **dishonesty, negligence or recklessness** is considered **culpable** and can be subject to a court bankruptcy order for up to **15 years**.

PARTNERSHIPS:

If the bankrupt is a partner in a general partnership:

1. **If the partnership is at will** – it will be dissolved on the bankruptcy of the partner and the partner's share of assets will be turned over to the trustee.
2. **If the partnership is for a specified term/undertaking** – it will continue and commonly, the remaining partners purchase the insolvent partner's interest.

If the bankrupt is a member of an LLP:

They cannot participate in the management of the LLP.

If the general partnership itself is insolvent:

It will be wound up using bankruptcy proceedings.

If an LLP is insolvent:

It will be wound up in the same way as a company.

PERSONAL LIABILITY OF DIRECTORS ON INSOLVENCY

Company Directors Disqualification Act 1986 Disqualification from acting as a director for up to 15 years.

FRAUDULENT TRADING:

Elements of the claim:

Insolvency Act 1986 Fraudulent trading is a civil claim.

The claim can be brought by:

- * A liquidator
- * An administrator

Both liquidators and administrators need the sanction of the creditors/court to bring a claim.

Brought against a **director or any other person**.

Who is party to the carrying on of any business of the company for any fraudulent purpose.

Actual dishonesty is required – a high standard of proof – likely to be extremely difficult to establish.

Defence:

It is a defence if the director genuinely believed that things would get better.

Sanctions:

The director will be personally liable to make such **contributions** to the company's assets as the court thinks fit.

Company Directors Disqualification Act 1986 Disqualification order is likely. – with disqualification for up to 15 years.

Criminal sanctions can also be brought.

WRONGFUL TRADING: *POPULAR EXAM Q*

Elements of the claim:

Test: the company becomes insolvent and at some point prior to that the director knew/ought to have known that there was no reasonable prospect that the company would avoid insolvent liquidation or administration. – **easier to prove than fraudulent trading**.

Liquidators and administrators may bring a claim – but only with the sanction of the court. Claims can be brought against directors. (This includes shadow directors, de facto and non-executive directors).

Insolvency for wrongful trading purposes is judged solely on the balance sheet test and **not** on the "cash flow test".
Balance sheet test = the value of the Company's assets are less than its liabilities.

Defence:

The 'every step' defence: The director will have a defence if they can show that, from the time they noticed that the company is likely to become insolvent, **they had taken every step to minimise the potential loss** to the Company's creditors.

The court will apply the **reasonably diligent person test** and apply the higher of the two standards:

1. **Objective test:**
The general knowledge, skill and experience reasonably expected of a director carrying out the same functions as the direction in question. – **The general knowledge of a managing director/finance director etc.**

OR
2. **Subjective test:**
A higher subjective standard due to the director's actual skill, knowledge and experience. – **Have they been a director of another company before becoming a director here? Does the director have any relevant qualifications? Do they have any kind of financial qualifications?**

The every step defence – do one/more of the following:

- * Persuade the other directors to commission a detailed **financial review** without delay.
- * Ensure that the company has adequate **financial monitoring systems** in place to enable constant review of the company's finances.

- * Calling regular – possibly weekly – **board meetings** to review the Company's financial position and the director should voice and have minuted their concerns.
- * Suggesting **savings options** for the company in the running of the business.
- * Requesting that the board take steps to **avoid incurring new credit** and/or reduce current debts.
- * Suggesting to the board that to take professional independent **advice from an insolvency practitioner** and/or that insolvency procedures be considered/initiated.
- * Communicating their concerns to shareholders to get them on their side.

Although a director **cannot escape liability** by resigning, **it might be appropriate for the director to resign** if the other directors do not listen to their concerns or take any actions which would amount to wrongful/fraudulent trading.

Sanctions:

The director will be personally liable to make such **contributions** to the company's assets as the court thinks fit.

Company Directors Disqualification Act 1986 Disqualification order is likely. – with disqualification for up to 15 years.

Such claims are not brought in every case because of the risk that the creditors will get even less after the court and liquidator's extra fees.

MISFEASANCE:

Elements of the claim:

Use where liability is already established.

Any creditor/liquidator (but not an administrator) may bring a claim for repayment, restoration, or contribution to the company's assets.

A claim can be brought against: an (ex-)officer of the company.

Misfeasance includes:

1. Misapplication of the company's money/assets
2. Transactions at an undervalue
3. Preferences
4. **Breach of any statutory duty/directors' duty:**
 - a. Unlawful loans to a director
 - b. Not disclosing their interest in a loan
 - c. Not informing of substantial property transaction
 - d. A director failing to act within their powers
 - e. Negligence

Shareholder ratification is not possible where the company is on the brink of insolvency.

Sanctions:

Company Directors Disqualification Act 1986 Disqualification order is likely. – with disqualification for up to 15 years.

VOIDABLE TRANSACTIONS (CLAWBACK)

INTRODUCTION:

If the company, sole trader or partner is struggling financially, the directors of the company or the affected individual might try to move assets to safety to “hide” them from the liquidator or trustee in bankruptcy.

Once the bankruptcy or insolvency/administration has commenced, **these past transactions may be challenged.**

The court's sanctions:

- * An order reversing the transaction
- * An order providing for financial restitution to restore the company to the position it would have been in had the transaction not occurred.

Insolvency Act 1986 Bona fide purchasers for value without notice who were not a party to the original transaction are protected.

Voidable transactions:

- * Transactions at an undervalue – eg. the directors selling company stock/assets to someone for half price.
- * Preferences – eg. paying unsecured creditors before insolvency to avoid paying secured creditors.
- * Avoidance of floating charges – eg. where a new floating charge is given on an existing loan/overdraft facility.

DEFINITIONS

Persons connected with the company = the company's director, shadow directors, or their associate or the company's associate.

Associates of director = includes their spouse/civil partner, their relative, spouse/civil partner's relative, employees, anyone they own a partnership with.

Onset of insolvency = includes Administration and Liquidation.

Insolvency = company's inability to pay its debts.

Relevant time = the time period before the onset of insolvency that will be investigated by the liquidator/administrator. This time period changes based on the type of transaction.

TRANSACTIONS AT AN UNDERVALUE:

Elements of the claim:

Transaction at an undervalue = a gift/sale at an undervalue. A liquidator or administrator can bring a claim.

The transaction is voidable if:

1. It took place **2 years** prior to the insolvency (Relevant time).
2. The company must have been insolvent **at the time** of the transaction or have become insolvent **as a result**.
3. **This will be presumed if the transaction is with a connected person** – otherwise it has to be proven.

There is a rebuttable presumption that an acquisition by a subsequent purchaser was not in good faith.

Defence:

Acting in **good faith** and for the purpose of carrying on the company's business. They acted in good faith if they had **reasonable grounds** for believing that the transaction would benefit the company.

Sanctions:

The court may make such order as it thinks fit.

If you are claiming transaction at an undervalue, also look at voidable preference as this may be relevant.

PREFERENCES:

Insolvency Act 1986 A liquidator/administrator can prevent a creditor obtaining an **improper advantage** over the other creditors by applying to the court for an order to set aside the preference.

The transaction must have been with a creditor and by making the payment, the company must have put that creditor in a better position than it would have been if that payment has not been made.

Elements of the claim:

The transaction is a preference and thus voidable if:

1. If the transaction is with an **unconnected person**: the transaction is a preference if it took place within the **6 months** (Relevant time) before the onset of insolvency/bankruptcy.
2. If the transaction is with a **connected person or an associate of the bankrupt**: the transaction is a preference if it took place within the **2 years** (Relevant time) before the onset of insolvency/bankruptcy.

AND

3. **The company must have been insolvent at the time of the transaction or have become insolvent as a result.**
4. **The company must have been influenced by a desire to prefer that creditor** (subjective test). – This desire to prefer is presumed if the transaction is with a connected person.

Sanctions:

The court may make such order as it thinks fit.

AVOIDANCE OF FLOATING CHARGES:

Insolvency Act 1986 A liquidator or administrator can simply avoid a floating charge – where an unsecured creditor has obtained a floating charge to secure an already existing charge for **no new consideration**.

Elements of the claim:

A floating charge can be avoided if:

1. If the charge is granted to an **unconnected person**: the floating charge can be avoided if it was granted within the **1 year** (Relevant time) before the onset of insolvency.
2. If the charge is granted to a **connected person**: the floating charge can be avoided if it was granted the **2 years** (Relevant time) before the onset of insolvency.

AND

3. The company must have been insolvent **at the time** of the granting of this charge or have become insolvent **as a result, unless** the charge was granted to a **connected person**.

The floating charge can only be over the new amount – Only additional amount is valid, not the full amount.

Automatically invalid – no need for proceedings.

A floating charge is void if it is not registered with Companies House within 21 days.

A floating charge granted to a creditor may also be voidable as a transaction at an undervalue or preference.